

China Internet

Tencent Holdings Ltd

Rating

Outperform

Price Target

700.HK

760.00 HKD (780.00 OLD)



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Tencent Q2: Answering the capex question

RMB104bn in capex and prepayments. Tencent's Q2 results were... fine, marginally ahead of consensus on revenue and gross profit, while higher opex meant non-GAAP operating profit was merely in-line. RMB134bn of deferred revenue balance for Q2 was 10.6% higher year on year, and implied similar cash billings growth, ahead of the 5% we'd modelled. The most important number in the earnings release was RMB52.8bn of capex, up sharply versus RMB31.9bn in Q1, and RMB79.2bn in the full year of 2025. Tencent also recorded RMB51.4bn in prepayments for future capex, locking in Q2 hardware pricing. Within operating expenses, "technical infra operations costs" grew RMB7.7bn year on year.

A two-year capex cycle? Tencent's call was predictably filled with questions on how and when the company intended to drive operating leverage on incremental depreciation costs. Management's orders of priorities focused on building in-house AI models and applications (e.g. Hy4, WorkBuddy) and providing inference for Workbuddy and DeepSeek... followed by a greater capacity to provide MaaS services or bare metal compute rental by late 2026 or early 2027. A Hy4 release before year-end matches our mental timeline for the next model. Intriguingly, Tencent management called 2026-2027 a "lump sum" of capex in 2026-2027, with subsequent increases dependent on AI ROI. Perhaps we're reaching, but the latter sounds like... expectations for when operating leverage shows up?

Core Tencent continues to look robust. RMB205bn of Tencent revenue in Q2 grew 11.0% year on year, in line with our estimate and 1% ahead of consensus. Gaming revenue grew 11.4% on aggregate, with management calling out Valorant and Delta Force strength on PC. Ads revenue (RMB43.6bn) was 2.9% ahead of the street, and grew 21.8% year on year - compared with 19.8% growth in Q1. Fintech & Business Services revenue (RMB60.3bn) grew 8.6% year on year, and was in-line with our estimate. Net of AI spend, Tencent noted core operating profit grew 19% year on year to RMB86.1bn.

Investment Implications

We rate Tencent Outperform (PT HK\$760).

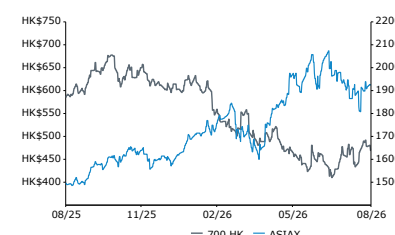
Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
700.HK (CNY)	28.09	29.72	31.27	Revenues (M)	751,766	824,723	903,623	--	Adjusted P/E (x)	14.1	13.4	12.7
OLD	--	30.00	34.91	Gross Profit (M)	422,593	467,498	513,596	--	EV/Sales (x)	4.2	3.9	3.5
				Operating Earnings (M)	280,656	297,511	305,874	--	EV/EBIT (x)	11.5	11.0	10.2
				Net Earnings (M)	259,626	271,750	281,746	--				

*Values shown in billions; Source: Bloomberg, Bernstein estimates and analysis.

Close Date	12 Aug 2026
700.HK Close Price (HKD)	461.60
Price Target (HKD)	760.00
Upside/(Downside)	65%
52-Week Range	683.00/411.00
ASIAx	1,924.95
FYE	Dec
Div Yield	1.1%
Market Cap (HKD) (B)	4,192.58
EV (HKD) (B)	3,699.62
Performance	YTD 1M 6M 12M
Absolute (%)	(22.9) 0.9 (13.2) (21.2)
ASIAx (%)	17.7 (1.2) 7.3 30.7
Relative (%)	(40.6) 2.0 (20.6) (51.9)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

TENCENT UPS THE ANTE ON CAPEX

Tencent's Q2 2026 results showed a P&L that was largely in-line with our expectations. RMB205bn of revenue implied 11.0% growth year on year, while gross profit (RMB118bn) grew 12.8%. Non-GAAP operating profit (our preferred metric for core business momentum) reached RMB75.6bn, which was 9.2% higher year on year, implying modest deleverage on operating expenses - chiefly D&A costs and "technical infra operations costs". Operating profits excluding the company's disclosure on AI spend grew 19% year on year (RMB86.1bn versus RMB72.4bn in Q2 2025)... implying RMB10.4bn of AI spend in Q2, versus RMB8.8bn in Q1. At the segment level, RMB65.9bn of gaming revenue grew 11.4% year on year. Domestic and International gaming revenue grew 17% and declined 0.8% respectively (the latter up 4% constant currency) in Q2. The former reflecting ongoing PC strength, with management calling out Valorant and Delta Force as wins in the quarter.

Revenue from the new Arrow's Puzzle Escape game from Miniclip (monetised via in-app ads) was said to have been booked in Marketing Services rather than gaming... net of which international gaming would have grown 400bps faster (+3%, +8% constant currency). Management cautioned against extrapolating the impact of the game on ads growth in future quarters. But equally, with IAA monetisation on the rise in video gaming, we doubt it'll be the last time something like this happens. RMB134bn of deferred revenue balance as of June 30 was 10.6% year on year, and implied cash billings that grew 10% or so versus Q2 last year, higher than the 5% we'd modeled (though gaming aside the Q2 balance also included some contribution from WorkBuddy).

21.8% ads revenue growth in Q2 came in above what we and the street had modelled, although segment gross margin was surprisingly a little lower year on year (in part reflecting disproportionate booking of D&A costs in the segment). Net of Arrow's Puzzle Escape, 20% or so growth would have been in-line with our forecast. FBS revenue (RMB60.3bn) was in-line with our modeling and street estimates (both around RMB60.3bn), while 52.1% gross margin was almost flat year on year.

Within Tencent's expenses this quarter, RMB11.9bn of marketing spend was higher than we'd modeled, while RMB27.3bn of R&D spend was also notably higher, reaching 13.3% of revenue. Within the latter, RMB16.5bn of staff R&D expenses was 9% or RMB1.3bn higher year on year, while RMB10.8bn of non-staff R&D expenses grew 112% (+RMB5.7bn), likely led by compute rental spend. Within operating expenses, "technical infra operations costs" grew RMB7.7bn year on year.

Net, while sticker shock around the Q2 capex numbers are not entirely surprising, we doubt these results produced much in the way of new news for keen followers of the company. A capex hike was widely anticipated into the quarter, even if the scale of the reported number was as larger than expected (especially if one includes the prepayments this quarter). The dislike for investment cycles continues to feature in our discussions with tactical investors, and the comparisons with Meta (which we disagree with) will continue. Whether more AI capex is considered good for an Internet platform will probably continue to flip-flop month to month. But trading on a low-teens multiple of 2027E earnings, we think a lot's now in the price.

Our latest price target for Tencent is based on slightly lowered estimates, and an unchanged 20x FY+1 PE multiple, rolled over one quarter.

EXHIBIT 1: **Tencent: Results summary**

Tencent Q2 2026 results			Delta		Growth YoY	
		Q2 2026	vs. Bern	vs. Cons	Actual	Cons
Revenue	Actual	204,785	0.0%	1.0%	11.0%	9.9%
	Bernstein	204,780				
	Consensus	202,843				
Gross profit	Actual	118,433	-0.6%	2.1%	12.8%	10.4%
	Bernstein	119,093				
	Consensus	115,977				
Gross margin	Actual	57.8%	-0.3%	0.7%	0.9%	0.3%
	Bernstein	58.2%				
	Consensus	57.2%				
Non-GAAP operating profit	Actual	75,636	2.5%	0.0%	9.2%	9.3%
	Bern. Est.	73,761				
	Consensus	75,662				
Non-GAAP operating margin	Actual	36.9%	0.9%	-0.4%	-0.6%	-0.2%
	Bern. Est.	36.0%				
	Consensus	37.3%				
Non-GAAP net profit	Actual	68,415	0.2%	0.3%	8.5%	8.2%
	Bernstein	68,279				
	Consensus	68,227				
Non-GAAP EPS	Actual	7.43	-0.2%	-0.4%	9.4%	9.8%
	Bernstein	7.45				
	Consensus	7.46				

Source: Corporate reports, Bloomberg, and Bernstein analysis.

EXHIBIT 2: **Tencent: Results by segment**

Segment revenue	Actual Q2 2026	Growth YoY	Bernstein Q2 2026	Delta	Consensus Q2 2026	Delta
Total revenue	204,785	11.0%	204,780	0.0%	202,843	1.0%
Value-Added Service	98,414	7.7%	99,216	-0.8%	98,417	0.0%
Online Games	65,900	11.3%	59,320	11.1%	65,569	0.5%
Other VAS	32,514	1.1%	39,896	-18.5%	32,914	-1.2%
Fintech & Business Services	60,286	8.6%	60,352	-0.1%	60,268	0.0%
Online Advertising	43,565	21.8%	42,772	1.9%	42,352	2.9%
Other	2,520	37.1%	2,441		2,085	

Segment gross profit	Actual Q2 2026	Growth YoY	Bernstein Q2 2026	Delta	Consensus Q2 2026	Delta
Total gross profit	118,433	12.8%	119,093	-0.6%	115,977	2.1%
Value-Added Service	62,926	13.9%	60,680	3.7%	60,308	4.3%
Fintech & Business Services	31,422	8.5%	31,465	-0.1%	31,006	1.3%
Online Advertising	24,969	21.3%	26,582	-6.1%	24,380	2.4%
Other	-884	-449.4%	366	-341.5%	-162	-444.9%
Gross margin	57.8%		58.2%	-0.3%	57.2%	0.7%
Value-Added Service	63.9%		61.2%	2.8%	61.3%	2.7%
Fintech & Business Services	52.1%		52.1%	0.0%	51.4%	0.7%
Online Advertising	57.3%		62.1%	-4.8%	57.6%	-0.3%

Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

UPDATING OUR ESTIMATES FOR TENCENT

We've updated our estimates for Tencent to reflect the company's Q2 results, and management's commentary around the quarter. On aggregate, our estimates for Tencent's non-GAAP operating and net profits are lower to reflect higher assumptions for capex and depreciation expenses.

Exhibit 3 shows a summary of our estimate changes for Tencent.

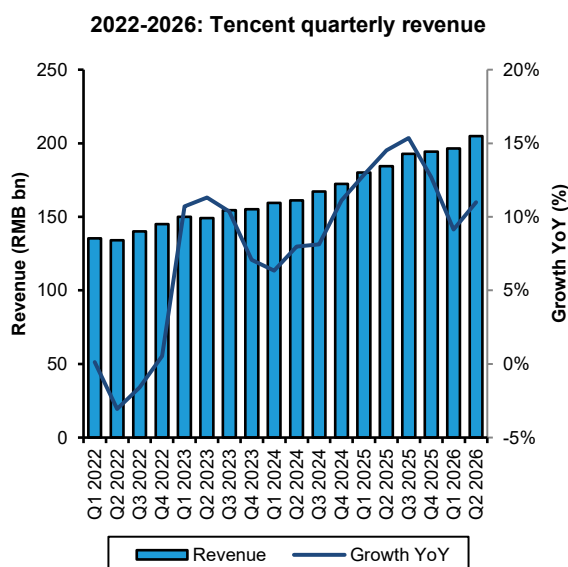
EXHIBIT 3: Tencent: Summary of estimate changes

Tencent: summary of estimate changes	2026E	2027E	2028E
Revenue			
Bernstein - Old	823,827	912,280	1,002,035
Growth YoY	9.6%	10.7%	9.8%
Bernstein - New	824,723	903,623	1,010,920
Growth YoY	9.7%	9.6%	11.9%
Consensus	825,933	904,674	990,096
Growth YoY	9.9%	9.5%	9.4%
New vs. old	0.1%	-0.9%	0.9%
New vs. consensus	-0.1%	-0.1%	2.1%
Non-GAAP operating income			
Bernstein - Old	295,304	331,862	372,401
Growth YoY	5.2%	12.4%	12.2%
Margin	35.8%	36.4%	37.2%
Bernstein - New	297,511	305,874	335,747
Growth YoY	6.0%	2.8%	9.8%
Margin	36.1%	33.8%	33.2%
Consensus	304,831	336,495	375,234
Growth YoY	8.6%	10.4%	11.5%
Margin	36.9%	37.2%	37.9%
New vs. old	0.7%	-7.8%	-9.8%
New vs. consensus	-2.4%	-9.1%	-10.5%
Non-GAAP EPS			
Bernstein - Old	29.93	34.76	40.08
Growth YoY	6.6%	16.1%	15.3%
Bernstein - New	29.72	31.27	35.22
Growth YoY	5.8%	5.2%	12.6%
Consensus	29.96	32.90	36.28
Growth YoY	6.7%	9.8%	10.3%
New vs. old	-0.7%	-10.1%	-12.1%
New vs. consensus	-0.8%	-5.0%	-2.9%

Source: Bloomberg, Corporate reports, Bernstein estimates and analysis.

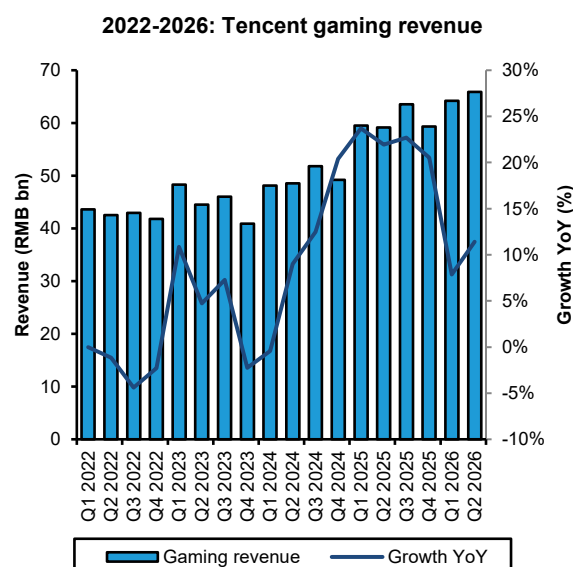
Q2 2026 RESULTS IN CHARTS

EXHIBIT 4: Tencent's Q2 revenue grew 11% year on year to RMB204.8bn



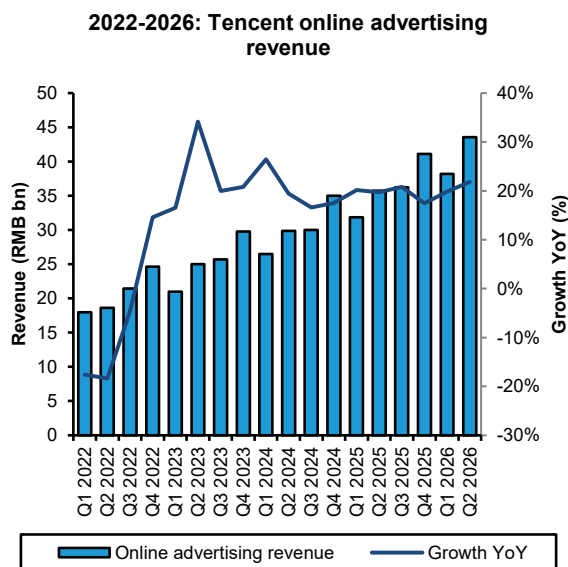
Source: Corporate reports and Bernstein analysis.

EXHIBIT 5: Tencent reported gaming revenue of RMB65.9bn in Q2 2026, 11.4% higher year on year



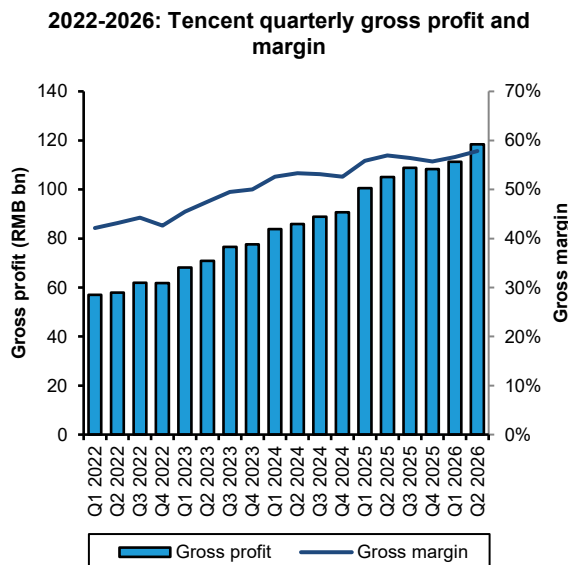
Source: Corporate reports and Bernstein analysis.

EXHIBIT 6: **Online advertising revenue came to RMB43.6bn last quarter, 21.8% higher year on year**



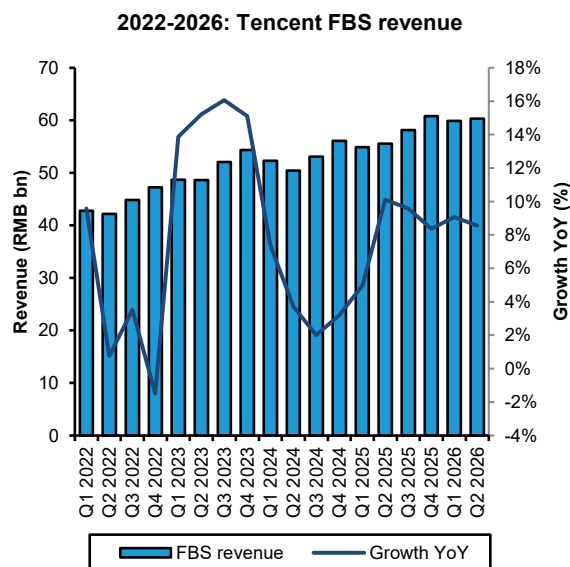
Source: Corporate reports and Bernstein analysis.

EXHIBIT 8: **Gross profit came to RMB118.4bn, implying gross margin further expanded to 57.8%**



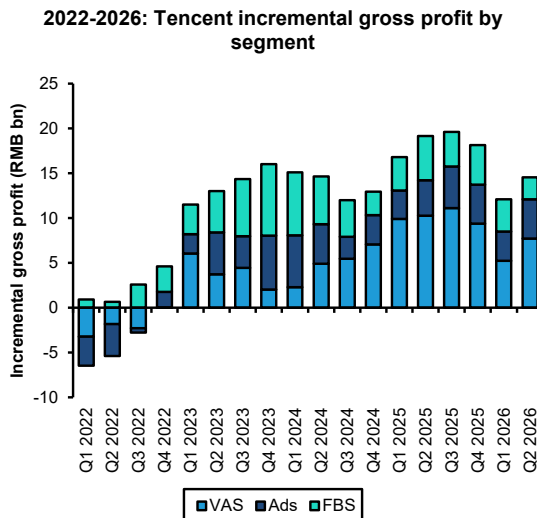
Source: Corporate reports and Bernstein analysis.

EXHIBIT 7: **Tencent F&BS revenue increased 8.6% to RMB60.3bn last quarter**



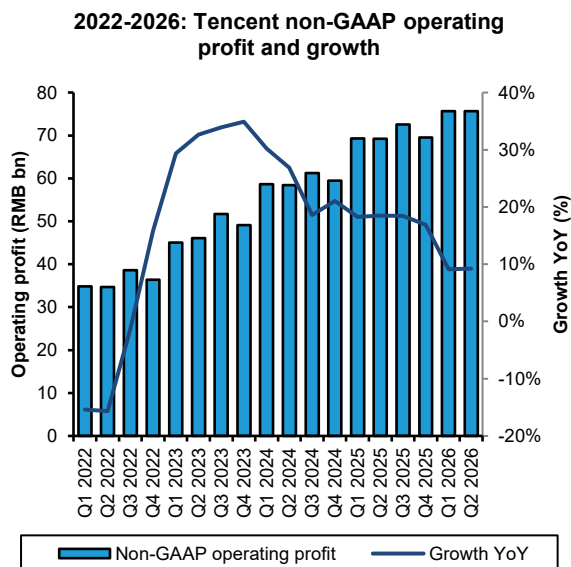
Source: Corporate reports and Bernstein analysis.

EXHIBIT 9: **VAS led in incremental gross profit by segment in Q2**



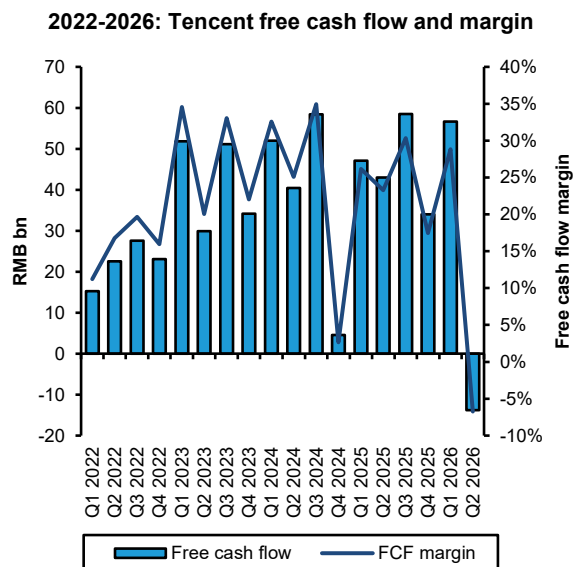
Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 10: Non-GAAP operating profit reached RMB75.6bn in Q2, an increase of 9.2% from a year earlier



Source: Corporate reports and Bernstein analysis.

EXHIBIT 11: Free cash flow declined to negative RMB13.8bn as a result of prepayments for compute and higher capex



Source: Corporate reports and Bernstein analysis.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 12: Tencent: Income Statement

RMB million	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	554,552	609,015	660,257	751,766	824,723	903,623	1,010,920
Gross profit	238,746	293,109	349,246	422,593	467,498	513,596	584,230
Sales & marketing expenses	-29,229	-34,211	-36,388	-41,727	-50,697	-55,543	-62,169
Admin expenses	-45,295	-39,447	-42,075	-50,380	-43,803	-46,696	-49,069
R&D expense	-61,401	-64,078	-70,686	-85,747	-111,223	-142,596	-177,193
Other income, net	8,006	4,701	8,002	-3,177	1,196	904	1,011
Operating profit	110,827	160,074	208,099	241,562	262,971	269,665	296,810
Non-GAAP operating profit	144,526	191,886	237,811	280,656	297,511	305,874	335,747
EBITDA	164,037	214,381	256,310	310,767	344,902	439,341	512,956
Profit before tax	210,225	161,324	241,485	277,249	292,007	310,584	345,278
Income tax expense	-21,516	-43,276	-45,018	-47,448	-54,476	-59,011	-65,603
Net Income	188,709	118,048	196,467	229,801	237,531	251,573	279,675
Net profit attributable to SHs	188,243	115,216	194,073	224,842	231,377	245,011	272,666
Non-GAAP net profit attributable to SHs	115,649	157,688	222,703	259,626	271,750	281,746	312,418
EPS (RMB)	19.76	12.19	20.94	24.75	25.67	27.58	31.19
Non-IFRS EPS (RMB)	11.93	16.41	23.67	28.09	29.72	31.27	35.22

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 13: Tencent: Cash Flow Statement

RMB million	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	210,225	161,324	241,485	277,249	292,007	310,584	345,278
Depreciation & amortization	61,216	59,008	56,213	66,028	91,131	184,948	232,559
Stock-based compensation	26,248	22,782	23,424	31,859	28,435	30,251	32,845
Other	-151,598	-21,152	-62,601	-72,084	-108,906	-41,041	-43,769
Cash flow from operations	146,091	221,962	258,521	303,052	302,666	484,742	566,912
Capex	-31,300	-30,300	-79,200	-95,900	-265,300	-360,000	-360,000
Additions of intangibles	-26,400	-24,700	-24,000	-24,600	-34,081	-35,581	-38,809
Other	-47,171	-70,161	-18,987	-85,232	23,982	-28,165	-36,747
Cash flow from investments	-104,871	-125,161	-122,187	-205,732	-275,398	-423,746	-435,555
Cash flow from financing	-59,953	-82,573	-176,494	-87,155	-62,939	-54,581	-78,031
Net effect of exchange rate changes	7,506	1,353	359	-1,643	-3,979	0	0
Net change in cash	-11,227	15,581	-39,801	8,522	-39,649	6,415	53,326
Beginning cash	167,966	156,739	172,320	132,519	141,041	101,392	107,806
Ending cash	156,739	172,320	132,519	141,041	101,392	107,806	161,132

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 14: Tencent: Balance Sheet

RMB million	2022	2023	2024	2025	2026E	2027E	2028E
Cash & term deposits	261,515	358,303	325,496	377,842	315,667	322,081	375,407
Accounts receivable	45,467	46,606	48,203	49,930	52,239	54,365	58,578
Inventories	2,333	456	440	530	2,528	2,814	3,087
Other current assets	256,674	113,081	122,041	167,158	193,127	208,410	224,953
Total current assets	565,989	518,446	496,180	595,460	563,561	587,670	662,024
Long-term investments	252,715	261,665	297,415	348,712	343,733	374,482	413,677
Property, plant & equipment, net	104,336	105,028	134,084	200,231	368,671	567,789	705,230
Intangible assets	161,802	177,727	196,127	205,999	217,117	228,632	257,441
Other non-current assets	493,289	514,380	657,189	688,584	713,352	713,352	713,352
Total assets	1,578,131	1,577,246	1,780,995	2,038,986	2,206,434	2,471,924	2,751,724
Short-term debt	22,026	55,698	61,508	53,160	73,747	87,201	96,233
Accounts payable and other payables	301,485	177,543	202,744	217,623	237,987	258,790	285,255
Other current liabilities	110,693	118,916	132,657	141,968	156,228	173,672	192,518
Total current liabilities	434,204	352,157	396,909	412,751	467,962	519,663	574,006
Long-term debt	312,337	292,920	277,107	334,573	413,747	469,176	514,649
Other non-current liabilities	48,730	58,488	53,083	50,597	54,729	54,729	54,729
Total liabilities	795,271	703,565	727,099	797,921	936,438	1,043,569	1,143,384
Shareholders' equity	782,860	873,681	1,053,896	1,241,065	1,269,996	1,428,356	1,608,341
Total liabilities & shareholders' equity	1,578,131	1,577,246	1,780,995	2,038,986	2,206,434	2,471,924	2,751,724

Source: Corporate reports, Bernstein estimates and analysis.

BERNSTEIN TICKER TABLE

			12 Aug 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
700.HK (Tencent)	O	HKD	461.60	760.00	(51.9)%	CNY	28.09	29.72	31.27	14.1	13.4	12.7
OLD				780.00				30.00	34.91			
ASIA			1,924.95									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Tencent Holdings Ltd**

We value Tencent at HK\$760 per share, on a 20x FY+1 (i.e. Quarters 5-8) PE multiple.

RISKS**Tencent Holdings Ltd**

The main downside risks associated with Tencent include macroeconomic risks (e.g. credit, retail consumption), fluctuations in user engagement with its platforms, gaming and advertising demand competition with rival internet platforms, and regulatory risks – for example related to China's anti-monopoly regulations.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

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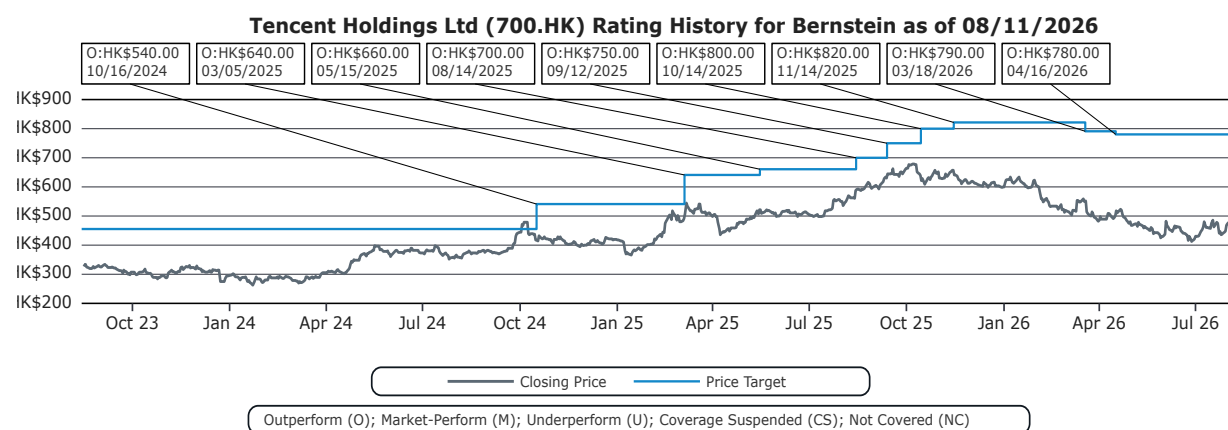
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